

Canada-India Trade and Investment Forum



Source: PIB

Why in News?

The Union Commerce and Industry Minister led the largest-ever Indian business delegation to Canada. Both countries launched the **Canada-India Trade and Investment Forum** and reaffirmed their commitment to conclude the **Comprehensive Economic Partnership Agreement (CEPA)** by the end of 2026.

What are the Key Highlights of the Canada-India Trade and Investment Forum 2026?

- **Launch of the Trade and Investment Forum:** The **Canada-India Trade and Investment Forum** was launched as a vital platform to bring together business leaders, foster new commercial partnerships, and increase two-way engagement.
- **Expediting CEPA Negotiations:** Both nations have agreed to a pragmatic approach focusing on "low-hanging fruit" and avoiding immediate demands for concessions in sensitive sectors (such as agriculture and dairy for India).
 - Canada termed the proposed CEPA a "**game changer**" for reviving bilateral economic ties.
- **Ambitious Trade Targets:** India and Canada are aiming to significantly increase their bilateral trade volume, aiming to reach **USD 50 billion by 2030**.
 - Recognizing that trade resilience cannot rely solely on conglomerates, the updated roadmap prioritizes the inclusion of **Small and Medium Enterprises (SMEs)** as the operational backbone to drive untapped trade volumes.
- **Team Canada Trade Mission:** Canada announced it will lead a '**Team Canada Trade Mission**' to India later in 2026, signaling strong interest from Canadian businesses in expanding their presence in the Indian market.
- **Strategic Sectors of Cooperation:** The dialogues focused on deepening cooperation in mutually complementary domains such as **clean energy, critical minerals, agri-food, advanced manufacturing, digital technologies, and skills development**.
 - In May 2026, a Memorandum of Understanding (MoU) was signed to develop secure and resilient critical mineral supply chains, aligning with the **G7 Critical Minerals Action Plan**.

Comprehensive Economic Partnership Agreement (CEPA)

- A CEPA is a broad bilateral free trade agreement that covers trade in goods and services, investment, competition, and intellectual property rights (IPR).
- Unlike a standard Free Trade Agreement (FTA), which primarily focuses on eliminating or reducing tariffs on goods, a CEPA takes a more comprehensive, holistic approach to economic integration.
 - It looks at reducing non-tariff barriers, facilitating easier cross-border investments, and standardizing regulatory frameworks.
- India now has five CEPAs in force with **South Korea, Japan, Malaysia, the United Arab Emirates (UAE), and Oman.**

What is the Significance of India-Canada Relations?

- **Critical Minerals and Supply Chain De-risking:** Canada is a tier-one global supplier of **critical minerals** (potash, uranium, nickel).
 - Direct access to these resources is essential for India's transition to renewable energy and its **electric vehicle (EV) manufacturing** ambitions. This directly aligns with India's endorsement of the **G7 Critical Minerals Action Plan**.
- **Balancing the Indo-Pacific Architecture:** Canada's **Indo-Pacific Strategy** explicitly recognizes India as a critical partner in maintaining a free, open, and rules-based regional order.
 - This aligns seamlessly with **India's MAHASAGAR vision**, acting as a strategic counterweight to **China's** assertive unilateralism in the Indo-Pacific.
- **Complementary Economic Structures:** India's demographic dividend, massive consumer base, and digital services prowess perfectly complement Canada's capital abundance, advanced resource extraction, and high-end manufacturing capabilities.
- **Nuclear and Hydrocarbon Security:** Canada is a vital partner for India's baseline energy security.
 - The **2010 Nuclear Cooperation Agreement** allows for the sustained supply of Canadian uranium to safeguard India's civilian nuclear energy program.
- **Catalyzing the Low-Carbon Future:** As India accelerates its fossil fuel phase-out roadmaps and scales up initiatives like the **National Green Hydrogen Mission (NGHM)**, Canadian institutional capital and technological expertise in carbon capture, clean-tech, and grid modernization are highly significant.
- **Frontier Technologies and Innovation:** The **Australia-Canada-India Technology and Innovation Partnership (ACITI)** highlights the shift towards geotechnological diplomacy.
 - Collaboration in advanced computing paradigms such as standardizing frameworks around the no-cloning theorem in quantum communications and biotechnology innovations positions both nations at the vanguard of the **Fourth Industrial Revolution**.

India-Canada Relations

- **Strategic Partnership:** The two nations share over 75 years of diplomatic relations, which were formally upgraded to a "**Strategic Partnership**" in 2018.
- **Trade Profile (as of 2025):**
 - **Merchandise Trade:** India enjoys a trade surplus (**USD 9.7 billion exports vs. USD 3.9 billion imports**).
 - **Services Trade:** Strongly favors Canada (**USD 15.2 billion exports** vs. USD 4.5 billion imports), overwhelmingly driven by **education-related travel** from Indian students.
 - **Canadian Exports to India:** Vegetables, mineral fuels and oils, wood pulp, fertilisers, paper and paperboard
 - **Indian Exports to Canada:** Pharmaceuticals, machinery, electronics, precious stones and metals, iron and steel products.
- **Economic Complementarity:** India offers a large market, rapid growth, and skilled workforce, while Canada provides technology, capital, and critical resources such as potash, uranium, and critical minerals.
- **Diaspora and Soft Power:** The Indian diaspora in Canada is over 1.8 million strong (around 4% of the population), and acts as a formidable structural link.
 - Beyond remittances, this diaspora exercises significant political and corporate influence, advocating for deeper bilateral integration.
 - India remains the **largest source of international students in Canada**. This educational mobility fosters joint research ecosystems and provides India with a highly skilled workforce returning with global exposure.
- **Security Cooperation:** It is anchored in the **Joint Working Group on Counter Terrorism (1997)** and the Framework for Cooperation on Countering Terrorism (2018), while legal collaboration is strengthened through the **Extradition Treaty (1987)** and the **Mutual Legal Assistance Treaty (1994)** .

Conclusion

The India-Canada relationship is transitioning from a transactional trade linkage to a comprehensive strategic anchor. While intermittent domestic political frictions and divergent perspectives on specific security issues (such as extraterritorial extremism) demand careful diplomatic navigation, the fundamental economic and geopolitical drivers of the partnership remain structurally sound and essential for India's rise as a leading global power.

Drishti Mains Question:

India and Canada are moving from transactional engagement to strategic economic partnership. Discuss.

Frequently Asked Questions (FAQs)

1. What is CEPA?

CEPA, or Comprehensive Economic Partnership Agreement, is a broad trade pact covering goods, services, investment, competition, and IPR. It goes beyond tariff reduction and aims at deeper economic integration.

2. Why are India and Canada focusing on critical minerals?

Canada is a major supplier of potash, uranium, and nickel, which are important for India's renewable energy transition, EV sector, and industrial security. This makes critical minerals a key strategic area.

3. How important is trade between India and Canada?

In 2025, bilateral merchandise trade stood at USD 13.6 billion, while services trade was also strong, especially in education-related travel. The two countries aim to raise bilateral trade to USD 50-70 billion by 2030.

4. What role does the Indian diaspora play in Canada?

The Indian diaspora acts as a bridge for trade, investment, innovation, and cultural understanding. It also strengthens political and business linkages between the two countries.

5. Why is India important in Canada's Indo-Pacific strategy?

Canada sees India as a key partner for a free, open, and rules-based Indo-Pacific. Cooperation in security, technology, clean energy, and supply chains gives the relationship wider regional significance.

[Watch Video on YouTube: [▶ https://www.youtube.com/embed/TevRRdCnZ-o](https://www.youtube.com/embed/TevRRdCnZ-o)]

UPSC Civil Services Examination, Previous Year Question (PYQ)

Prelims

Q. In which one of the following groups are all the four countries members of G20? (2020)

- (a) Argentina, Mexico, South Africa and Turkey
- (b) Australia, Canada, Malaysia and New Zealand
- (c) Brazil, Iran, Saudi Arabia and Vietnam
- (d) Indonesia, Japan, Singapore and South Korea

Ans: (a)

Beaufort Castle



Source: TH

Recently, Israeli forces captured **Lebanon's medieval Beaufort Castle** amid an expanded military offensive against **Hezbollah in southern Lebanon**, despite an existing Israel-Lebanon ceasefire.

- **About:** Beaufort Castle, also called **Qalaat al-Shaqif or Shaqif Arnoun** , is a 900-year-old hilltop fortress in southern Lebanon, built by Crusaders in the 12th century.
- **Location:** The castle is located near **Nabatieh** , a few kilometres north of the Israel border, and overlooks the **Litani River** as well as wide parts of southern Lebanon and northern Israel.
 - Its elevated position gives Israeli forces a major observation advantage over towns around **Nabatieh, the western Bekaa Valley**, the occupied **Golan Heights** and northern Galilee.
- **Historical Significance:** The fortress has changed hands multiple times, including between Crusaders, regional powers, the Ottoman Empire, Palestinian fighters and Israel, which previously occupied it during its **1982 Lebanon invasion** until withdrawal in 2000.
- **UNESCO Protection:** Beaufort Castle was also among the Lebanese cultural sites placed under enhanced **UNESCO** protection during the previous Israel-Hezbollah war in 2024.

Litani River

- The Litani River is the **longest river entirely within Lebanon** and a key water resource in southern Lebanon.
- It originates in the **Beqaa Valley**, flows south parallel to the **Syrian border** and drains into the **Mediterranean Sea near Tyre**.



Read More: [India Expresses Concern Over Beirut Strike](#)

Carbon Border Adjustment Mechanism (CBAM)



Source: TH

The **European Union's Carbon Border Adjustment Mechanism (CBAM)** is reshaping global trade by linking market access to **carbon emissions** embedded in imported goods.

Carbon Border Adjustment Mechanism (CBAM)

- **About:** The Carbon Border Adjustment Mechanism (CBAM) is a European Union import duty on **carbon-intensive goods** produced outside the EU through processes that emit more carbon than EU standards allow.
 - It is part of the EU's **"Fit for 55" package** , which aims to reduce greenhouse gas emissions by at least **55% by 2030** compared to 1990 levels.
- **Objective:** Its stated aim is to **prevent "carbon leakage"** , ensure a fair carbon price on imported goods and encourage cleaner industrial production in non-EU countries.
- **Coverage:** CBAM **applies to carbon-intensive products** such as iron and steel, cement, fertiliser, aluminium and electricity generation, with the possibility of expansion to more goods in future.
- **Mechanism:** EU importers have to buy CBAM certificates priced in line with the **EU Emissions Trading System (EU ETS)** , corresponding to the carbon cost that would have applied if the goods were produced under EU carbon pricing rules.
 - If a non-EU producer has already paid a carbon price in its own country, that amount can be deducted from the CBAM cost.
- **Timeline:** CBAM was rolled out by the EU in 2023, with a transitional phase from 2023 to 2025, and entered its definitive, fully enforceable phase on 1 January 2026.
- **Concerns:** Countries such as India, China and other **BRICS** members view CBAM as a **unilateral, discriminatory and protectionist trade measure** that can hurt export competitiveness and weaken the principle of differentiated responsibilities in climate action.
- **Global Trade Impact:** CBAM may benefit industries in developed countries with emission standards similar to the EU while disadvantaging developing economies, making it a major issue in climate negotiations and global trade politics.

Read more: [Carbon Border Adjustment Mechanism](#)

Delhi HC Recognises Right To Be Forgotten



Source: TH

The **Delhi High Court** has recognized the 'Right to Be Forgotten' (RTBF) as an intrinsic component of the Right to Privacy under Article 21 of the Constitution .

- **Right to be Forgotten (RTBF):** It allows individuals to seek removal of personal information from digital platforms when it becomes outdated, irrelevant, or infringes upon privacy.
 - The right was recognized by the **Court of Justice of the European Union (CJEU) in the 2014 Google Spain case**, which held that search engines must remove information that is no longer relevant or excessive upon request.
- **Constitutional Source:** The court ruled that the **RTBF** empowers citizens to seek the removal of personal data from the public digital domain when its continuous availability no longer serves a legitimate public interest.
- **Enforceability Without Statutes:** The court explicitly observed that **even in the absence of a comprehensive statutory framework** in India explicitly governing the RTBF, **constitutional courts have the power to recognize and enforce this right** .
- **Mandated Action for Digital Intermediaries:** The court ordered authorities, search engine operators (like Google), and legal databases **to mask personal identifiers and disable "name-based search functionality"** for specified cases, ruling that these **de-indexing directions will operate globally** .
- **Balancing "Open Justice" vs. Dignity:** While acknowledging that the **principle of open justice** demands court proceedings stay accessible, it **does not mandate that a private citizen's name must act as a permanent, searchable key via commercial search engines** .
 - Open justice ensures transparency, not the perpetual amplification of an individual's personal or legal struggles.
- **Scope of Digital Restoration:** Individuals who are acquitted, discharged, or whose cases are quashed or settled have the right to have these outcomes accurately reflected online.
 - The Court said personal identifiers may be masked in publicly accessible judgments, but the legal reasoning, findings and conclusions must remain intact, with unredacted records preserved for legitimate legal purposes.
- **Exemptions:** The Right to Be Forgotten is **not absolute**, and relief may be denied in serious cases such as convictions for offences against **women or children and offences** involving breach of public trust by public servants, elected representatives or persons in fiduciary positions.

Read more: [Right to Be Forgotten](#)

Index of Industrial Production and Revision of Base Year



Source: TH

India's **Index of Industrial Production (IIP)** growth slowed to **4.9% in April 2026** from **5.8% in April 2025**, while the government introduced a revised **IIP series with 2022-23 as the new base year, replacing 2011-12**.

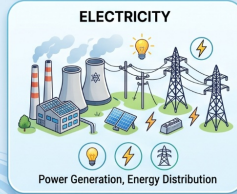
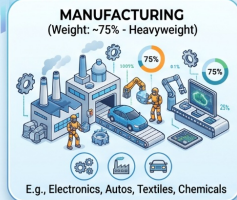
- **Sectoral Performance (April 2026):** The manufacturing sector, which dominates with about 76% weight in the IIP basket, grew by 6.2%.
 - Conversely, the mining and quarrying sector experienced a sharp contraction of over 5%.
- **Use-Based Classification Trends (April 2026):** Growth accelerated in Capital goods (16%) and Infrastructure/Construction goods (7.1%). However, growth moderated in primary goods, consumer durables, and consumer non-durables.

Index of Industrial Production (IIP)

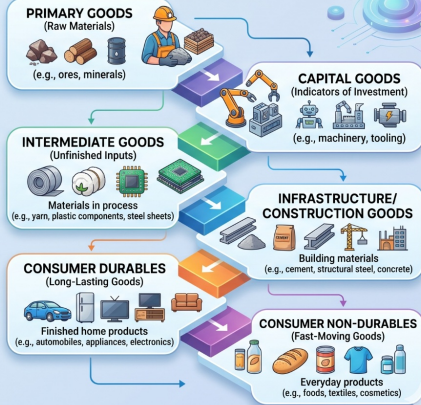
- **About:** Published monthly by the **National Statistical Office (NSO)** under the Ministry of Statistics and Programme Implementation (MoSPI), it serves as a reliable barometer for the overall health of the industrial sector.
 - It is a **macroeconomic indicator** that measures the short-term changes in the **volume of industrial production in an economy** over a specific period.
- **Base Year Revision:** The IIP base year has been officially updated from 2011-12 to 2022-23, making it the latest major macroeconomic indicator to be revised in 2026 alongside the **GDP**.
 - The index value for the base year is always set to 100, and current production is measured as a percentage against it.
- **Expanded Product Basket:** The revised index now tracks a larger basket consisting of 1,042 products mapped to 463 item groups (up from 839 items and 407 groups).
 - Furthermore, the weights assigned to each sector and industry have been revised in alignment with the updated **Gross Value Added (GVA) 2022-23 series**.
- **Broadened Sectoral Coverage:** The new IIP series expands its traditional scope by incorporating **gas supply, water supply, sewerage, and waste management** activities alongside the existing core categories of mining and quarrying, manufacturing, and electricity.
 - Electricity generation is now cleanly split **between renewable and non-renewable sources**, offering a sharper view of the country's green energy transition.
- **Significance:** IIP is a key high-frequency indicator of economic activity, as GDP data is released only quarterly.
 - It serves as an **early measure of industrial performance**, helping policymakers, the **RBI**, and analysts assess **economic momentum**, monitor sectoral demand trends, formulate policies, and **forecast future GDP growth**.

KEY COMPONENTS OF THE INDEX OF INDUSTRIAL PRODUCTION (IIP)

1. SECTORAL CLASSIFICATION



2. USE-BASED CLASSIFICATION



UNDERSTANDING IIP COMPONENTS

Read more: [Index of Industrial Production](#)

Tylosaurus Rex



Source: TH

Recently, scientists identified **Tylosaurus rex** as a distinct species of giant marine reptile after examining previously discovered fossils.

- **About: Tylosaurus rex** was a giant mosasaur, a group of **marine reptiles** that lived during the age of dinosaurs. It was not a dinosaur, but a sea-going reptile related to land-living lizards, with modern **monitor lizards** among its closest living relatives.
- **Period:** Tylosaurus rex lived around **80 million years ago** during the **Cretaceous Period**, when a large inland sea called the **Western Interior Seaway** divided North America into eastern and western landmasses.
- **Size:** The largest known specimen, nicknamed **Bunker**, is about 13.2 metres long, making it larger than the famous **Tyrannosaurus rex specimen Sue**, which is about 12.2 metres long.
- **Key Features:** Tylosaurus rex had a streamlined body, elongated snout, large teeth with fine serrations for cutting flesh, four paddle-like flippers and a powerful tail.
- **Predatory Adaptations:** Its heavy jaw and neck musculature, along with other anatomical features, suggests that Tylosaurus rex could subdue large prey and functioned as an **apex marine predator**.
- **Mosasaur Group:** Mosasaurs were globally distributed marine reptiles that evolved from **land-living lizards** and became apex predators during the final phase of the dinosaur age.
- **Nomenclature:** The name Tylosaurus rex means “ **king of the tylosaurs**” and was chosen as a nod to Tyrannosaurus rex. However, the two species were not contemporaries.



Read More: [Dinosaur Highway](#)

Operation Mule Hunt 1.0



Source: TH

Recently, **Gujarat Police** uncovered cyber fraud worth **₹2,289 crore** and took action against **913 mule bank accounts** under a Statewide crackdown called **Operation Mule Hunt 1.0** .

- **Data Sources:** Gujarat Police compiled data from the **Indian Cybercrime Coordination Centre (I4C)** , National Cybercrime Reporting Portal (NCRP), Coordination Portal and the 1930 cybercrime helpline.
- **Risk-Scoring System:** To make action against mule accounts more efficient and proactive, the **Indian Digital Payment Intelligence Corporation (IDPIC)** is implementing an AI-based risk-scoring system under **Reserve Bank of India(RBI)**) guidelines.
- **Transaction Classification:** Under this system, each transaction will be classified as low risk, medium risk or high risk so that suspicious accounts can be identified and banks can take necessary action.
- **Information Sharing:** IDPIC has been made the **nodal agency, and a registry called mulehunter.ai** has been created to share information about suspicious accounts among banks.

Mule Account

- **About:** A mule account is a bank account used to **facilitate illegal activities** .
 - A money mule is someone who **transfers or moves illegally acquired money** on **behalf** of someone else.
- **Banking Vulnerability:** Transnational cybercriminals use accounts of **shell companies** and individuals as **mule accounts** , exploiting the **bulk payout facility** provided by banks.

Read More: [Mule Accounts for Money Laundering](#)